Bank accounts for teens

Ah, the birds and the bees . . . and bank fees.

I'll leave the awkward sexting discussion to you, but I can totally help with guiding your teenager through the murky world of banking.

As we discussed in Part I: First Steps, in the first few years of high school your kid is going to be doing more advanced jobs around the home (even setting up their own business to work for neighbours washing cars and mowing lawns).

Then when they are old enough to get a part-time job (14 or 15, depending on your state), you cut their pocket money and give them a gentle, caring kick up the backside to encourage them to start flipping burgers . . . and open their own bank accounts.

But what accounts should your teen have?

Enter the Serviette Strategy . . . for teens.

If you haven't read my last book, you're probably wondering what the hell I'm on about.

Well, the Serviette Strategy is one of the simplest ways to manage your money.

In fact, my entire money management plan consists of dividing our income into three 'buckets':

- a *Blow* Bucket, for daily expenses, the occasional splurge and some extra cash to fight financial fires
- a *Mojo* Bucket, to provide some 'safety money', and
- a *Grow* Bucket, to build long-term wealth and total security (e.g. investments and super).